UNITED STATES BANKRUPTCY COURT
DISTRICT OF CONNECTICUT
BRIDGEPORT DIVISION

In re: HO WAN KWOK, et al., HO WAN KWOK, et al.,[1] Debtors.	Chapter 11 Case No. 22-50073 (JAM) (Jointly Administered)
LUC A. DESPINS, CHAPTER 11 TRUSTEE, Plaintiff, v. PILLSBURY WINTHROP SHAW PITTMAN LLP, Defendant.	Adv. Pro. No. 24-05014 (JAM) Dated: April 22, 2024

MEMORANDUM OF LAW IN SUPPORT OF DEFENDANT PILLSBURY WINTHROP SHAW PITTMAN LLP'S MOTION TO DISMISS THE COMPLAINT

ORAL ARGUMENT REQUESTED

[1] The Debtors in these chapter 11 cases are Ho Wan Kwok (also known as Guo Wengui, Miles Guo, and Miles Kwok, as well as numerous other aliases) (last four digits of tax identification number: 9595), Genever Holdings LLC (last four digits of tax identification number: 8202) and Genever Holdings Corporation. The mailing address for the Trustee, Genever Holdings LLC, and the Genever Holdings Corporation is Paul Hastings LLP, 200 Park Avenue, New York, NY 10166 c/o Luc A. Despins, as Trustee for the Estate of Ho Wan Kwok (solely for purposes of notices and communications).

TABLE OF CONTENTS

Page

PRELIMINARY STATEMENT 1
FACTS PLED IN THE COMPLAINT 5
APPLICABLE LEGAL STANDARD 6
ARGUMENT 7

I. The Trustee's Alter Ego Theory Cannot Transform G Club's Property Into Property of the Debtor's Estate 7

II. The Complaint Fails Because It Does Not Adequately Allege that G Club Is the Debtor's Alter Ego 10

III. The Trustee Does Not Plead Grounds to Substantively Consolidate the Debtor and G Club 12

IV. The Complaint Fails Because the Trustee has Failed to Join an Indispensable Party 14

V. There is No Basis for Any Retroactive Relief 15

VI. The Complaint Should be Dismissed With Prejudice 16

CONCLUSION 17

TABLE OF AUTHORITIES

Evangelista v. Silver (In re Silver),
647 B.R. 897 (Bankr. E.D. Mich. 2022) 8

Situ v. O'Neill,
124 F. Supp. 3d 34 (D. P.R. 2015) 8

STATUTES

11 U.S.C. § 327 1
11 U.S.C. § 330 1
11 U.S.C. § 549 ..... passim

RULES

Fed. R. Bankr. P. 7010 2
Fed. R. Bankr. P. 7012 1
Fed. R. Civ. P. 10(c) 2
Fed. R. Civ. P. 12(b)(6) 4

CASES

Ashcroft v. Iqbal, 556 U.S. 662 (2009) 4
Bell Atl. Corp. v. Twombly, 550 U.S. 544 (2007) 4
Neitzke v. Williams, 490 U.S. 319 (1989) 9
In re Howland, 674 F. App'x 482 (6th Cir. 2017) 5

Statutes and Codes

United States Code
Title 11, Section 327 1
Title 11, Section 330 1
Title 11, Section 549 ..... *passim*

Connecticut General Statutes Annotated
Section 33-673(a) 9

Rules and Regulations

Federal Rules of Bankruptcy Procedure

Rule 7009 9
Rule 7010 2
Rule 7012 ..... 1, 14
Rule 7019 14

Federal Rules of Civil Procedure
Rule 9(b) 9
Rule 10(c) 2, 10
Rule 12 ..... 1, 14

Rule 15(a)(2) 16
Rule 19(a) 14

Defendant Pillsbury Winthrop Shaw Pittman LLP ("Pillsbury"), by and through its undersigned counsel, submits this memorandum of law in support of its motion to dismiss the complaint [Docket No. 1, "Compl."] filed by Plaintiff Luc A. Despins, in his capacity as the Debtor's chapter 11 trustee (the "Trustee"), pursuant to Rule 12(b) of the Federal Rules of Civil Procedure (as incorporated by Rule 7012 of the Federal Rules of Bankruptcy Procedure) ("Rule 12"). In support of the motion, Pillsbury states as follows:

PRELIMINARY STATEMENT

1. Shortly after his appointment, the Trustee served a subpoena with broad Rule 2004 discovery requests on G Club Operations LLC ("G Club"). G Club, in the ordinary course, retained Pillsbury to represent it in connection with the subpoena and any related court proceedings, and Pillsbury entered a notice of appearance on June 6, 2023. (Chapter 11 Docket No. 1884.) At no point did the Trustee, the Court, or any other party in interest suggest that Pillsbury, as counsel to a non-debtor third party, was required to file a retention application or seek Court approval of its fees pursuant to sections 327 and 330, or any other section, of the Bankruptcy Code. Any such suggestion would have been nonsensical, as these provisions plainly apply only to professionals retained by estate representatives. Nevertheless, by this action, the Trustee seeks to avoid, pursuant to 11 U.S.C. § 549, $1,599,822.93 of payments G Club made to Pillsbury as compensation for its legal work on the basis that the payments were "postpetition transfers of estate property [that] were not authorized." (Compl. ¶ 3.)

2. Although G Club is not a debtor, the Trustee contends that it is an alter ego of Mr. Kwok, one of the Debtors in these cases, and that, as such, its assets are "property of the estate" retroactive to the date of the Debtor's Petition, unburdened by G Club's liabilities. The Trustee's legal theory is critically flawed, however, for a number of reasons, including:

a. Under Puerto Rico law, which governs the alter ego analysis here, an alter ego remedy merely makes the alter ego vicariously liable for the debtor's debts once a judgment against the debtor is obtained and a determination of alter ego with the non-debtor is made. It does not give the debtor an ownership interest in the alter ego's assets. Thus,

[2] Capitalized terms not defined in this memorandum have the meanings ascribed to them in the Complaint.

even if the Trustee prevails in establishing that G Club is the Debtor's alter ego, an alter retroactive to the date of the Debtor's Petition, unburdened by G Club's liabilities. The Trustee's ego remedy would not transform G Club's assets into property of the Debtor's estate. The legal theory is critically flawed, however, for a number of reasons, including:

Trustee has no basis to recover G Club's payments to Pillsbury under section 549 of the

a. Under Puerto Rico law, which governs the alter ego analysis here, an alter Bankruptcy Code.

ego remedy merely makes the alter ego vicariously liable for the debtor's debts

b. Even if an alter ego remedy could consolidate G Club's assets with those of the Debtor, once a judgment against the debtor is obtained and a determination of alter ego with the complaint fails to allege non-conclusory facts that, if proven, would establish the

the non-debtor is made. It does not give the debtor an ownership interest in the Trustee's entitlement to the requested relief at all or with retroactive effect. The complaint alter ego's assets. Thus, even if the Trustee prevails in establishing that G Club is does not plead facts relevant to any of the eleven factors that courts applying Puerto Rico law consider in determining whether to pierce a corporate veil. Instead, it simply states, the Debtor's alter ego, an alter ego remedy would not transform G Club's assets in conclusory fashion, that G Club was the Debtor's "personal piggy-banks." (Compl. ¶ into property of the Debtor's estate. Indeed, whether Puerto Rico law applies or 16.) The Trustee attempts to overcome this deficiency by purporting to incorporate by not, the vast majority of courts, including courts in Connecticut, agree that "alter reference a complaint from an action against G Club that he "will imminently ego" effects a collection remedy and not a usurpation of the alter ego's assets. *See* commence," but Federal Rule of Bankruptcy Procedure 7010 (incorporating Federal Rule Section I *infra*. The Trustee has no basis to recover G Club's payments to Pillsbury of Civil Procedure 10(c)) only permits incorporation of allegations from prior filed under section 549 of the Bankruptcy Code. pleadings.

c. Although the Trustee does not explicitly seek an order substantively consolidating the

b. Even if an alter ego remedy could consolidate G Club's assets with those of Debtor and G Club in this or any subsequently filed complaint against G Club, the relief the Debtor, the complaint fails to allege non-conclusory facts that, if proven, would sought in this complaint seeks to treat G Club's assets as if they were substantively establish the Trustee's entitlement to the requested relief at all or with retroactive consolidated with the Debtor's assets. But the facts pled in the complaint do not establish effect. The complaint does not plead facts relevant to any of the eleven factors that a basis for substantive consolidation. Among other deficiencies, the Trustee fails to courts applying Puerto Rico law consider in determining whether to pierce a explain how an order deeming G Club's assets to be assets of the estate would promote corporate veil. Instead, it simply states, in conclusory fashion, that G Club was the the "sole purpose" of substantive consolidation, which is "to ensure the equitable Debtor's "personal piggy banks." (Compl. ¶ 16). The Trustee attempts to treatment of all creditors." (Compl. ¶ 16). The Trustee's express objective, to recapture overcome this deficiency by purporting to incorporate by reference a complaint payments made to creditors of G Club and redistribute the funds to creditors of the from an action against G Club that he "will imminently commence," but Federal Debtor, would do just the opposite.

3. In sum, the Trustee misapplies the term "alter ego" to encompass concepts such as Rule of Bankruptcy Procedure 7010 (incorporating Federal Rule of Civil Procedure veil piercing, reverse veil piercing, vicarious liability and (partial) substantive consolidation

trying to obtain relief that none of these theories (even if they were adequately pled) provide,

FACTS PLED IN THE COMPLAINT

making G Club's assets the Debtor's assets as of the Petition Date, such that non-debtor G Club's

6. The Trustee's complaint is only eight pages long. A material portion of those eight

"post-petition" payment of its expenditures required pre-approval by the Court under section 549

pages is devoted to summarizing procedural posture and characterizing the nature of other

of the Bankruptcy Code.

proceedings before this Court. (*See, e.g.*, Compl. ¶¶ 14-15 (asserting that "the trustee has

4. The Trustee's suit against Pillsbury is part of a series of fraudulent transfer, preference

commenced a number of adversary proceedings" and purporting to summarize "[t]he fact patterns

and post-petition transfer actions filed against service providers, the providers of goods and

in these [other] litigations")). The allegations against Pillsbury are mapped out in just a few

every law firm that represents, or has represented, one of the many companies the Trustee

sentences in the complaint.

believes to be an alter ego of Mr. Kwok. These actions were filed shortly before the Trustee

commenced a series of larger, far more significant lawsuits against the underlying clients of these

7. The complaint alleges that G Club transferred funds in the amount of

law firms, which collectively seek several hundred million dollars in damages.

$1,599,822.93 after the Petition Date . . . to the Defendant as initial transferee" (Compl. ¶ 2) and

5. The Court should put a quick end to the Trustee's gambit and dismiss the complaint

that "GClub [sic] is one of numerous alter ego shell companies used by the Debtor to defraud his

with prejudice.

creditors." (*Id.* ¶ 13.) The complaint does not present any facts relevant to a determination as to

FACTS PLED IN THE COMPLAINT

whether G Club is in fact an alter ego of the Debtor. Instead, it asserts that "[t]he Trustee has or

6. The Trustee's complaint is only eight pages long. A material portion of those eight

will imminently commence an adversary proceeding against GClub, which adversary proceeding

pages is devoted to summarizing procedural posture and characterizing the nature of other

seeks, among other things, a declaratory judgment that GClub was the alter ego of the Debtor" and

proceedings before this Court. (See, e.g., Compl. ¶¶ 14-15 (asserting that "the trustee has

that "[t]he Trustee incorporates by reference herein, the Trustee's Complaint filed in such

commenced a number of adversary proceedings" and purporting to summarize "[t]he fact

adversary proceeding." (*Id.* ¶ 13 n.13.) However, the complaint does not identify the pleading

patterns in these [other] litigations")). The allegations against Pillsbury are mapped out in just a

that it purports by incorporate, by docket reference, adversary proceeding number, or date.

few sentences in the complaint.

8. From these allegations, the Trustee asks the Court to conclude that G Club is the

7. The complaint alleges that G Club transferred funds in the amount of $1,599,822.93

Debtor's alter ego and that "[a]s of the Petition Date [of these chapter 11 cases], all of the Debtor's

after the Petition Date . . . to the Defendant as initial transferee" (Compl. ¶ 2) and that "GClub

property held through his alter egos, including GClub [sic] became property of the Debtor's

[sic] is one of numerous alter ego shell companies used by the Debtor to defraud his creditors."

chapter 11 estate." (*Id.* ¶ 17.) These conclusory statements are all that support the complaint's

(Id. ¶ 13.) The complaint does not present any facts relevant to a determination as to whether G

Club is in fact an alter ego of the Debtor. Instead, it asserts that "[t]he Trustee has or will

imminently commence an adversary proceeding against GClub, which adversary proceeding

seeks, among other things, a declaratory judgment that GClub was the alter ego of the Debtor."

(Id. ¶ 13 n.13.)

single count, which seeks to avoid G Club's $1,599,822.93 payment to Pillsbury pursuant to section 549 of the Bankruptcy Code. (*Id.* ¶¶ 23-29.)[4]

8. From these allegations, the Trustee asks the Court to conclude that G Club is the Debtor's alter ego and that "[a]s of the Petition Date [of these chapter 11 cases], all of the Debtor's property held through his alter egos, including GClub [sic] became property of the Debtor's chapter 11 estate." (Id. ¶ 17.) These conclusory statements are all that support the issue of law." *Neitzke v. Williams*, 490 U.S. 319, 326 (1989) (second citation omitted) (first citing *Hishon v. King & Spalding*, 467 U.S. 69, 73 (1984)). Claims will only survive if the plaintiff alleges facts sufficient "to state a claim to relief that is plausible on its face." *Bell Atl. Corp. v. Twombly*, 550 U.S. 544, 570 (2007). A claim is facially plausible "when the plaintiff pleads factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged." *Ashcroft v. Iqbal*, 556 U.S. 662, 678 (2009) (citing *Twombly*, 550 U.S. at 556). A plaintiff must show "more than a sheer possibility that a defendant has acted unlawfully." *Id.* In deciding whether a plaintiff has made this showing, a court should disregard "legal conclusions" and "conclusory statements." *Id.*; *see also Twombly*, 550 U.S. at 555 (holding that a plaintiff cannot rely on mere "labels and conclusions").

APPLICABLE LEGAL STANDARD

9. "Rule 12(b)(6) authorizes a court to dismiss a claim on the basis of a dispositive complaint's single count, which seeks to avoid G Club's $1,599,822.93 payment to Pillsbury pursuant to section 549 of the Bankruptcy Code. (Id. ¶¶ 23-29.)

APPLICABLE LEGAL STANDARD

9. "Rule 12(b)(6) authorizes a court to dismiss a claim on the basis of a dispositive issue of law." *Neitzke v. Williams*, 490 U.S. 319, 326 (1989). Claims will only survive if the plaintiff alleges facts sufficient "to state a claim to relief that is plausible on its face." *Bell Atl. Corp. v. Twombly*, 550 U.S. 544, 570 (2007). A claim is facially plausible "when the plaintiff pleads factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged." *Ashcroft v. Iqbal*, 556 U.S. 662, 678 (2009). In deciding whether a plaintiff has made this showing, a court should disregard "legal conclusions" and "conclusory statements." *Id.*

ARGUMENT

I. The Trustee's Alter Ego Theory Cannot Transform G Club's Property Into Property of the Debtor's Estate

10. Section 549 of the Bankruptcy Code provides that "the trustee may avoid a transfer of property of the estate that occurs after the commencement of the case." 11 U.S.C. § 549(a)(1).

[4] The Trustee cites to other adversary proceedings in which the Court allegedly has ruled "that the Debtor's shell companies were his alter egos." (Compl. ¶ 14 & n.4.) Leaving aside whether any of those rulings were made on a contested adversary record or by default against parties other that G Club or Pillsbury if the Trustee is relying or is intending to rely on any decision or ruling in any other adversary proceeding, they cannot be used here to cure an inadequately pled claim (or to establish any fact in this adversary proceeding). Pillsbury was not a party to any of those other proceedings, thus the allegations of the Debtor's chapter 11 estate's ownership of Pillsbury's claim against G Club cannot be incorporated by reference into the Complaint to sustain a claim. They cannot be incorporated by shorthand or in a conclusory fashion. In short, Pillsbury cannot be estopped or bound by them. *See Ien v. TransCare Corp.* (*In re TransCare Corp.*), 638 B.R. 691, 695, 705-06 (Bankr. S.D.N.Y. 2022) ("non-mutual offensive collateral estoppel can be applied only as to defendants that have litigated an issue and lost to another plaintiff in a prior action, and then only if additional requirements are met"); *see also Copeland v. Merrill Lynch & Co.*, 47 F.3d 1415, 1423 (5th Cir. 1995) (collateral estoppel is equitable doctrine "applied only when the alignment of the parties and the legal factual issues raised warrant it").

The transfers in this case were made by G Club, which is not a debtor. The Trustee asserts, however, that G Club was the Debtor's alter ego and that "all of the Debtor's property held through his alter egos . . . became property of the Debtor's chapter 11 estate." (Compl. ¶ 17.) The Trustee's theory is misplaced.

ARGUMENT

I. The Trustee's Alter Ego Theory Cannot Transform G Club's Property Into Property of the Debtor's Estate

10. Section 549 of the Bankruptcy Code provides that "the trustee may avoid a transfer of property of the estate that occurs after the commencement of the case." 11 U.S.C. § 549(a)(1). The transfers in this case were made by G Club, which is not a debtor. The Trustee asserts, however, that G Club was the Debtor's alter ego and that "all of the Debtor's property held through his alter egos . . . became property of the Debtor's chapter 11 estate." (Compl. ¶ 17.) The Trustee's theory is mistaken.

11. Alter ego, properly applied, is not a valid cause of action or catch all that transforms a non-debtor's assets into the assets of the debtor. It is a collection remedy that allows creditors of the debtor to try to collect their debts from the alter ego. This paradigm defeats any claim that the transfer by to G Club (the alleged transferor in the complaint), an entity incorporated under Puerto Rico law, to Pillsbury as a transfer by the Debtor, because under Puerto Rico law, there is no combining of assets on a finding of alter ego, or on a finding that the corporate veil will be pierced to permit claims against a corporate entity to be collected from a related owner.

12. There are two general approaches to veil piercing, to establishing the right to an alter ego remedy. Courts in some jurisdictions apply the "identity approach," under which "piercing the corporate veil expands the debtor's estate to include the property of its alter ego by deeming a corporation and its alter ego to be a single entity." *See, e.g., In re Howland*, 674 F. App'x 482, 486 (6th Cir. 2017) (internal quotation marks and second citation omitted) (first quoting *Am. Int'l Refinery v. Knight* (*In re Am. Int'l Refinery*), 402 B.R. 728, 744 (Bankr. W.D. La. 2008)).

13. However, the more prevalent approach "employs veil piercing as a form of vicarious liability, shifting liability from the debtor to its alter ego." *Id.* Under this approach, "[t]he doctrine of alter ego does not create assets for or in the corporation. It simply fastens liability upon the individual who uses the corporation merely as an instrumentality in the transaction." *Id.* (citations omitted).

CONCLUSION

14. For the foregoing reasons, the Trustee's complaint should be dismissed with prejudice.

RESPECTFULLY SUBMITTED,

CONCLUSION

34. For the foregoing reasons, the Trustee's complaint should be dismissed with prejudice.

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